

Comments of the Agriculture Transportation Coalition

Notice of Proposed Rulemaking - Docket 22-24

Proposed Rule on Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations

Executive Summary of the AgTC Comments:

The Agriculture Transportation Coalition (AgTC) represents the interests of the nation's food, farm, and fiber exporters, who have been directly and adversely impacted by ocean carrier refusals to accept outbound (export) bookings. Thus, this Rulemaking is of significant interest and concern.

The Agriculture Transportation Coalition's (AgTC) membership has been greatly impressed and appreciative of the Commission's pro-active initiatives to implement the Ocean Shipping Reform Act of 2022 (OSRA). For example, deeming the detention and demurrage requirements outlined in OSRA to be effective as of the date the President signed it into law: June 16, 2022, and developing more efficient, less burdensome means of addressing shipper complaints.

Unfortunately, the current NPRM is an exception to this otherwise positive trend. The proposed rule misses the Congressionally stated intent and purposes of the Shipping Act by a wide margin.

By including carriers' pursuit of "profitability" and "compatibility with business development strategy" as a reasonable basis upon which to refrain from accepting and carrying export cargo, the NPRM provides carriers a loophole large enough to sail a 22,000 TEU ship through – with room to spare. It suggests a greater interest in promoting ocean carriers' "profitability" than in supporting the "growth and development" of US exporters. Not only is the legal reasoning for this conclusion, as set forth in the NPRM, faulty, but we believe it is inconsistent with Congress' and the Commissioners' stated views.

This deference to the carriers' own assessment of adequate profitability is particularly troublesome, as the NPRM discussion recognizes that the dramatic drop in exports carried during the pandemic supply chain crisis, was due to carrier decisions based on "differential revenues from import and export transportation." [NPRM] In other words, carriers intentionally reduced US export carriage.

This Proposed Rule is inconsistent with Footnote 20 included in the NPRM: "It is well-established, however, that '[t]he primary objective of the shipping laws administered by the FMC is to protect the shipping industry's customers, not members of the industry [carriers].'" *New York Shipping Ass'n, Inc. v. Fed. Mar. Comm'n*, 854 F.2d 1338, 1374 (D.C. Cir. 1988) (quoting *Boston Shipping Ass'n v. FMC*, 706 F.2d 1231, 1238 (1st Cir.1983)).

The NPRM does not appear to recognize the various means the carriers decline to carry export cargo. To do so, the terms "deal or negotiate with respect to vessel space allocations" must be defined. It should include decisions by carriers to refuse or cancel bookings, cut allocations, or delay (roll) export cargo. These are never "negotiated", they are almost always sudden, arbitrary decisions, tardily communicated (or not communicated by the carrier to the exporter at all). They are not "negotiated", but these denials are equally devastating, if not more so, as they arrive with no notice. This Rule must address this kind of "dealing". It does not currently.

We ask the Commission to withdraw the proposed rule and begin to draft anew. Given the statutory deadline (6 months from the June 16, 2022 enactment), we propose that the Commission request the Congressional committees of jurisdiction support for an extension of time to implement a new Rule. The US export industry will join in such a request of Congress.

DISCUSSION:

A. OSRA provision requiring this Rulemaking:

(d) RULEMAKING ON UNREASONABLE REFUSAL TO DEAL OR NEGOTIATE WITH RESPECT TO VESSEL SPACE ACCOMMODATIONS. — Not later than 30 days after the date of enactment of this Act, the Federal Maritime Commission, in consultation with the Commandant of the United States Coast Guard, shall initiate a rulemaking defining unreasonable refusal to deal or negotiate for vessel space under section 41104(a)(10) of title 46, as amended by this section. The Federal Maritime Commission shall issue a final rule not later than 6 months after the date of enactment of this Act.

B. Other relevant provisions of OSRA:

1. The prohibition (against unreasonably refusing cargo) is strengthened in OSRA. Under the Shipping Act of 1984, codified as § 41104 (a)(10), “a common carrier, either alone or in conjunction with any other person, directly or indirectly, may not unreasonably refuse to deal or negotiate...” This was revised in OSRA, replacing the words “may not” with “shall not”. Thus, the prohibition is strengthened, highlighting its mandatory nature.
2. OSRA states that a purpose of the Act is “to promote the growth and development of U.S. exports through an ocean transportation system that is competitive, efficient, and economical.” 46 USC 40101(4) It should be noted that the emphasis on exports is unique in OSRA; other cargoes, such as imports, are not mentioned in the Purposes section of the law.

C. The Commission properly states the common carrier obligation to carry exports as well as imports, while acknowledging that the OSRA mandate for this Rulemaking addresses actual current and recent carrier unilateral decisions to decline export cargo.

“VOCCs should offer service in both directions within the trade lanes in which they operate in common carriage, regardless of trade lane, length of time active in the trade, or vessel size.”

“The Commission presumes that every ocean carrier operating in the U.S. market will have the ability to transport exports in addition to imports until further information is provided. In other words, an ocean carrier may not categorically exclude U.S. exports from a backhaul trip without showing how this action is reasonable.”

The NPRM correctly notes that over the past few years, the volumes of exports have dropped due to unilateral decisions by carriers. VOCC’s chose to reduce service in one trade lane, leading to dramatic changes in the import/export ratios. Per the NPRM “trade shocks do not fully explain the drop in total exports carried [during the past two years], neither do safety concerns over ship loading. Largely these changes can be explained by carrier operational decisions

based on equipment availability and differential revenues from import and export transportation".^[10] We agree.

D. The Proposed Rule should more clearly incorporate the most common means by which carriers refuse export cargo carriage – instances that are not the result of a negotiation, but rather a unilateral carrier decision with little advance notice to the shipper.

In the NPRM discussion, the scope of the proposed rule reflects the language of the OSRA provision:

"It is important to clarify that this proposed rule concerns the negotiations or discussions that lead up to a decision about whether an import or export load is accepted for transportation."
[NPRM]

However, during the pandemic, rejection of export cargo was never pursuant or resulting from "negotiations or discussions". There was no explanation to customers or the trade generally of intention to decline exports. We are unaware of any formal announcements by carriers to the exporters, either individually or broadly, by publication, by notification, or filing at the Commission, in tariffs or otherwise. No 'export cargo cancellation' clauses were added to service contracts.

Generally, carriers did not provide any advance notice, much less adequate notice, of a booking cancellation, cargo acceptance or rolling of export shipments. In some cases, the booking was cancelled *after* the cargo container had been delivered into the marine terminal.

In none of these instances did the carrier explain why rejection of bookings or rolling tendered exports was "reasonable". Such explanation did not occur because there was no negotiation or "deal" with the customer. US-based ocean carrier sales reps frequently had the unfortunate task of informing regular export customers that "we've been told not to take any exports", or "your allocation has been cut from 300 loads to 12". This information surprised the exporter customer, and there was no opportunity provided for discussion or negotiation.

If the Rule is to effectively address carrier refusal of export cargo, it must recognize that the most common form of export cargo rejection is not the result of formal negotiation or dealing. Towards this end, the Commission will need to define "deal or negotiate" to include any instance in which the carrier determines not to accept reasonably, timely, safely tendered export cargos. Per the NPRM, such instances should be deemed "a situation where an ocean carrier categorically excludes US exports from its backhaul trip" that "create(s) a presumption of unreasonable refusal to deal." [NPRM]

E. The central issue to be resolved in this Rulemaking – what constitutes a reasonable basis for a carrier to decline carriage of export cargo?

First, we agree with the NPRM that this will generally be determined on a case-by-case basis.

Second, "The Commission presumes that every ocean carrier operating in the U.S. market will have the ability to transport exports in addition to imports until further information is provided. In

other words, an ocean carrier may not categorically exclude U.S. exports from a backhaul trip without showing how this action is reasonable.” [NPRM]

Third, we acknowledge that there are reasonable operational justifications for rejection. These include that the export cargo is timely tendered, safely loaded and carried, and destined for one of the ports where the ship in question is already scheduled. The NPRM uses the term “transportation-related factors”, listing operational factors, with no mention of the revenue to be generated by the cargo.

Fourth, the Commission in this NPRM now proposes to add revenue-related factors (as opposed to operational or “transportation-related matters”), as a reasonable basis for a carrier's rejection of cargo. To do so, however, per this NPRM, the Commission would have to use precedent that does not apply to the carrier-shipper relationship or carriage of cargo. For example: based on a case involving negotiations between port authorities and marine terminal operators for leases of terminal space [in footnote 29], the NPRM states that “The Commission also has a history of recognizing that it is appropriate to defer to a party's reasonable business decisions and not to substitute its business judgment for that of an entity conducting negotiations”. Then, the NPRM somehow stretches this from real estate to ocean common carriage (from a terminal lease to a freight booking) saying, ‘An ocean common carrier may be viewed as having acted reasonably in exercising its business discretion to proceed with a certain arrangement over another by taking into account such factors as profitability and compatibility with its business development strategy.’[NPRM]

Common carriage principles do not apply to long-term port authority land leases with terminal operators. They do apply, to a significant degree, to ocean carrier acceptance of shipper cargo.

Fifth, the NPRM's proposed expansion of the term “reasonableness” to include profitability provides the carriers who choose to decline export bookings and loadings with a massive self-serving ‘loophole’. It allows them to define “reasonable” by calculating their own profitability and business strategy. The exporter has no access to the carrier's financials, and therefore, no ability to challenge the carrier's calculations of its necessary profitability.

Sixth, the NPRM does not address the potential of “profitability” being a reasonable basis to exclude export carriage and undermine one of the stated purposes of OSRA: the “growth and development” of US exports. The carriers' pursuit of “profitability” led to severe financial losses to US agriculture during the past 3 years.

Seventh, acceptance of the carrier's own assessment of profitability and business strategy would run counter to a key citation in the NPRM: “It is well-established that “[t]he primary objective of the shipping laws administered by the FMC is to protect the shipping industry's customers, not members of the industry [carriers].” New York Shipping Ass'n, Inc. v. Fed. Mar. Comm'n, 854 F.2d 1338, 1374 (D.C. Cir. 1988) (quoting Boston Shipping Ass'n v. FMC, 706 F.2d 1231, 1238 (1st Cir.1983)).[NPRM footnote 20]

F. NPRM's justification of considering “profitability” and “compatibility with business development” as a reasonable basis to deny export carriage, is flawed

First, the explanatory text of the NPRM exaggerates when it says, “The Commission also has a history of recognizing that it is appropriate to defer to a party's reasonable business decisions and not to substitute its business judgment for that of an entity conducting negotiations.” This

text is incorrect because the cited cases grant deference to public port authorities since the FMC held that port authorities act in the public interest, not based on private interests.

The request to the Commission would be to delete the reference to discretion as there is no basis to extend discretion to common carriers that can be presumed to act in their private interests, not the public interest. The result would be that ocean carriers would still be able to make business decisions but could be found to violate the Shipping Act's reasonableness duties if their conduct is determined to be unreasonable.

Second, the explanatory statement is wholly without justification in stating that, "An ocean common carrier may be viewed as having acted reasonably in exercising its business discretion to proceed with a certain arrangement over another by taking into account such factors as profitability and compatibility with its business development strategy." [NPRM] The apparent source of the comment is the Seacon cases statement applies that test to real estate developments of one port authority where it chooses one terminal operator's proposal for port land over another terminal operator's proposal. Applying the test to ocean carrier denial of export carriage space availability, would eviscerate the reasonableness obligation, since, if the rule was adopted, ocean carriers would simply make sure that there was evidence to support the standard.

Moreover, the aggregate effect of applying the test to all ocean carriers would mean that they could adopt allegedly profitable business plans that disadvantage export container carriage. This is not the outcome Congressional sponsors would have intended and should not remain in the explanatory text.

G. Clarification is Needed on How Commission plans to apply the Rule

Once a complainant (or the BEIC) has established a prima facie case for each of the three elements, the ocean common carrier will have the burden of production to show or justify why its refusal was reasonable. However, in contrast, under the NPRM Summary, but not in the proposed rule itself, "the ultimate burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable."³⁴ Clarification is needed.

H. CONCLUSION:

We propose that the proposed Rule be amended:

1. The rule should explicitly state that "carrier profitability" and "business development" will not be considered as a reasonable basis for refusal to carry export cargo under Section 542.1(b)(2)(iv) -- Any other factors the Commission deems relevant.
2. The rule should explicitly state that Any rejection of export cargo, whether by formal negotiation or unilateral carrier decision, should be considered a "refusal to deal or negotiate"
3. The proposed rule states that the burden is on the ocean common carrier to justify that its actions were reasonable. However, in contrast, the NPRM Summary states "the ultimate burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable."³⁴ This "ultimate burden" on the complainant

should be eliminated, as the complainant has no access to the carrier's information to determine profitability.

Respectfully Submitted,

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October 21, 2022

Proposed Rule:

For the reasons set forth in the preamble, the Federal Maritime Commission proposes to add [46 CFR part 542](#) to read as follows:

PART 542—COMMON CARRIER PROHIBITIONS

542.1

Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier.

Authority: [5 U.S.C. 553](#); [46 U.S.C. 305](#), [40307](#), [40501-40503](#), [41101-41106](#), and [40901-40904](#); [46 CFR 515.23](#).

Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier.

(a) Purpose. This part establishes the elements and definitions necessary for the Federal Maritime Commission (Commission) to apply [46 U.S.C. 41104\(a\)\(10\)](#) concerning vessel space accommodations provided by an ocean common carrier. This includes complaints brought before the Commission by a private party or enforcement cases brought by the Commission.

(b) Definitions. For the purposes of this section:

(1) Transportation factors mean factors that encompass the genuine operational considerations underlying an ocean common carrier's practical ability to accommodate laden cargo for import or export, which can include, without limitation, vessel safety and stability, scheduling considerations, and the effect of blank sailings.

(2) Unreasonable means an ocean common carrier's refusal to deal or negotiate as prohibited under [46 U.S.C. 41104\(a\)\(10\)](#). In evaluating an ocean common carrier's action, the Commission will consider the following factors, without limitation, when deciding whether a refusal to deal or negotiate under paragraph (c)(3) of this section is unreasonable:

(i) Whether the ocean common carrier follows a documented export strategy that enables the efficient movement of export cargo;

(ii) Whether the ocean common carrier engaged in good-faith negotiations, and made business decisions that were subsequently applied fairly and consistently;

(iii) The existence of legitimate transportation factors; and

(iv) Any other factors the Commission deems relevant.

(3) Vessel space accommodations mean space provided aboard a vessel of an ocean common carrier for laden containers being imported to or exported from the United States.

(c) Elements. To establish a successful private party or enforcement claim under [46 U.S.C. 41104\(a\)\(10\)](#) for refusal to deal or negotiate for vessel space accommodations:

(1) The respondent must be an ocean common carrier as defined in [46 U.S.C. 40102](#);

(2) The respondent refuses to deal or negotiate, including with respect to vessel space accommodations; and

(3) The refusal is unreasonable.

(d) Shifting of the burden of production. The burden to establish a violation of this part is with the complainant (or Bureau of Enforcement, Investigations, and Compliance). Once a complainant sets forth a prima facie case of a violation, the burden shifts to the ocean common carrier to justify that its actions were reasonable. This justification may take the form of a certification by an appropriate representative of the ocean common carrier to attest that the decision and supporting evidence are correct and complete. An appropriate representative can include the ocean common carrier's compliance officer.